

HRMAGIX006 - Employee Termination Policy

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🔍 Reviewed by: Rahul R Jadhav

1. Objective

To ensure a structured, compliant, and professional process for terminating employment while safeguarding the company's interests and treating employees with dignity and respect.

2. Scope

This policy applies to all full-time, part-time, and contractual employees of HR Magix.

3. Types of Termination

3.1 Voluntary Resignation: Employee initiates separation.

3.2 Involuntary Termination:

- 3.2.1 Performance-related: Persistent failure to meet expectations despite warnings.
 - 3.2.2 Misconduct: Violation of company policies, unethical behaviour, or breach of contract.
 - 3.2.3 Redundancy/Business Reasons: Role elimination due to organisational changes.
 - 3.2.4 Termination During Probation: Non-confirmation due to unsatisfactory performance or conduct.
 - Failing during the background verification process.
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4. Termination Process

A. Voluntary Resignation

4.1 Notice Submission

- Employees must submit a resignation email or letter to their reporting manager and HR.
- A minimum notice period must be served as per the Notice Period Policy.

4.2 Acknowledgement & Acceptance

- HR will acknowledge the resignation within 2 working days.
- Exit formalities will be initiated by HR.

4.3 Handover & Knowledge Transfer

- Employees must complete knowledge transfer and documentation of ongoing tasks.
- Reporting managers must ensure a smooth transition.

4.4 Full & Final Settlement

- HR will initiate clearance and settlement within 45 days from the last working day.

B. Involuntary Termination

4.5 Documentation & Justification

- The manager must document performance issues, policy violations, or business reasons.
 - HR will review the case to ensure compliance with company policies and legal norms.
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4.6 Performance Improvement Plan (PIP) [If Applicable]

- Employees with performance issues may be placed on a PIP for 15/30 days.
- Failure to meet expectations during the PIP period may lead to termination.

4.7 Disciplinary Action for Misconduct

- An investigation will be conducted in case of serious misconduct.
- The disciplinary committee will review evidence and recommend necessary action.
- Final termination decisions will be approved by senior management.

4.8 Issuance of Termination Letter

- A formal termination letter will be issued specifying the reason and effective date.
- The termination letter will be sent by the HR Head/Department Head.

4.9 Notice Period/Immediate Release

- Immediate release may be considered depending on circumstances.
- Clearance and final settlement will be processed within 45 days from the last working day.

5. Clearance & Handover

5.1 IT Asset Return: Laptop, access cards, IDs, etc.

5.2 Revocation of System Access: Email, software, internal portals.

5.3 Handover of critical documents and information.

6. Full & Final Settlement

6.1 Calculation of pending dues (salary, incentives, leave balance).

6.2 Settlement initiated within 45 days post the last working day.

6.3 Provident Fund (PF) and gratuity processed, if applicable.

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7. Communication & Confidentiality

- 7.1 Announcement of employee departure to relevant teams post-exit.
- 7.2 Confidentiality of sensitive company information must be maintained post-exit.

8. Review & Amendments

- 8.1 This policy will be reviewed annually to ensure compliance with evolving regulations and business requirements.
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